

External influences	The market, market size and growth	• explain what is meant by a market • explain what is meant by competition • explain what is meant by market size • explain what is meant by market growth • explain the importance of market size to a business • evaluate how a business could increase its market share • describe the key features of monopoly, oligopoly and monopolistic competition • analyse the relationship between market structure and a business' decision making power.
	Demand and supply	• explain what is meant by demand, supply and equilibrium • explain how demand and supply interact to establish equilibrium • explain the determinants of demand and supply • explain how changes in the determinants of demand and supply affect price and output decisions • construct and interpret demand and supply diagram(s) to show how changes in the determinants of demand and supply affect equilibrium • evaluate factors which affect demand and supply in a market • construct and interpret demand and supply diagram(s) to show excesses and shortages in a market • evaluate the effect of excesses and shortages in a market.

Area of Study	Content	Learners should be able to:
External influences	Market forces	• evaluate the impact of market forces on a business and its stakeholders • recommend and justify how a business should respond to market forces • evaluate the extent to which a business is affected by the dynamic nature of the market • evaluate the impact of competition at the local, national and global contexts on a business.
	Physical and non-physical markets	• distinguish between physical and non-physical markets, including online and digital • explain why firms may choose to operate in physical and/or non-physical markets.
	Competition	• explain what is meant by competition • evaluate how the strength of its competition affects a business • explain why firms may choose to enter or exit a market • analyse barriers to entry or exit in a market • evaluate the impact of competition on a business, its stakeholders and its market.
	Market dominance	• explain what is meant by market dominance, mergers, acquisitions and organic growth • explain what is meant by monopoly • explain how mergers, acquisitions and organic growth could lead to the creation of dominant firms • evaluate the impact on a business of a dominant firm operating in its market • explain how market dominance is restricted and regulated in the UK • evaluate the impact and importance of the regulation of the market on a business and its stakeholders.

Area of Study	Content	Learners should be able to:
External influences	Global context	• explain what is meant by globalisation • explain factors which facilitate globalisation including the Internet, communication technologies, e-commerce, trade liberalisation, transport infrastructure and multinationals • explain why some businesses are more affected than others by globalisation • explain the role of multinationals in globalisation • distinguish between a global strategy and globalisation • recommend and justify how a business should respond to the challenge of increasing globalisation • evaluate the opportunities and threats globalisation presents to a business • explain what is meant by global branding • evaluate the opportunities and threats to a business of a rise in the number of global brands • evaluate the roles of multinationals in globalisation.
	International trade and free trade	• explain what is meant by international trade • explain the reasons for international trade • explain the nature and purpose of barriers to international trade • evaluate factors to be considered by a business when trading internationally including language, culture and customs, logistics, currency and buying habits • explain what is meant by an exchange rate • calculate exchange rate currency conversions • evaluate the impact of changes in exchange rates on a business and its stakeholders • explain the relationship between increased globalisation and international trade • describe sources of financial and non-financial support for businesses which trade internationally • explain what is meant by free trade • evaluate the advantages and disadvantages of free trade to a business and its stakeholders • explain what is meant by a trading bloc • evaluate the advantages and disadvantages to a business of trading within a trading bloc.

Area of Study	Content	Learners should be able to:
External influences	The European Union	• explain the influence on a business of the European Union, including its enlargement and single European currency • evaluate the advantages and disadvantages to a business of the UK not being part of the EU and the Eurozone • recommend and justify whether a business should expand into European and/or global markets • evaluate the advantages and disadvantages to a business of the UK not being a member of the Single European Market.
	Emerging markets and the global environment	• explain what is meant by an emerging market • evaluate the impact of emerging markets on a business • evaluate the impact on a business of changes in its global environment • recommend and justify how a business could respond to changes in its global environment.
	Political factors	• identify political factors which influence a business • explain how political uncertainty may affect a business • evaluate the benefits to a business of political stability • explain how and why political instability may affect international trade • evaluate how the policies of local, national and international governments can affect a business • evaluate the impact and importance in changes in political factors for a business and its stakeholders.

Area of Study	Content	Learners should be able to:
External influences	Economic factors	• explain the key economic indicators which influence a business • identify the nature and purpose of the main types of taxation in the UK • distinguish between direct and indirect taxation • identify the main types and purposes of UK government expenditure • explain what is meant by a subsidy • analyse the benefits to a business of receiving a subsidy • distinguish between monetary, fiscal and supply-side policies • explain the relationship between interest rates and exchange rates • explain what is meant by Gross Domestic Product • explain what is meant by the business cycle • describe the main phases of the business cycle • explain how a business can use the business cycle to its advantage • explain why some businesses are more affected than others by the business cycle • evaluate the impact and importance in changes in economic factors for a business and its stakeholders.
	Social factors	• describe social factors which influence a business • evaluate the impact and importance in changes in social factors for a business and its stakeholders.
	Technological factors	• identify technological factors which influence a business • explain how technology can be used in a business • explain how changes in technology may impact on a business • evaluate the advantages and disadvantages of using computer hardware and software to aid a business and its stakeholders • evaluate the opportunities and threats to a business and its stakeholders changes in technological factors.

Area of Study	Content	Learners should be able to:
External influences	The digital revolution	• explain what is meant by the digital revolution • evaluate the impact and importance of the information age on a business • evaluate the opportunities and threats that have arisen for a business because of the digital revolution • evaluate why some businesses are more affected than others by the digital revolution • evaluate the advantages and disadvantages to a business and its stakeholders of rapid technological change.
	Ethical factors	• distinguish between the law and ethics • explain ethical issues which influence a business • explain why some businesses are more affected than others by ethical issues • evaluate ethical trading methods and working practices • recommend and justify ways in which a business could improve its ethical profile • evaluate the advantages and disadvantages to a business and its stakeholders of behaving ethically • evaluate the importance to a business of being seen as an ethical organisation • evaluate possible conflicts between ethical objectives and other business objectives • recommend and justify how a business can manage the conflicts between ethical objectives and other business objectives • evaluate the impact and importance in changes in ethical issues for a business and its stakeholders.
	Legal factors	• explain the nature and purpose of legislation including that relating to employment, equality, company and partnership health and safety, data protection, intellectual property, planning, environmental, consumer protection, contract and financial conduct • evaluate ways in which a business can comply with legislation • evaluate possible conflict between complying with legislation and other objectives • evaluate the importance to a business of complying with legislation • evaluate the consequences to a business of failing to comply with legislation • evaluate the impact and importance in changes in legal issues for a business and its stakeholders.

Area of Study	Content	Learners should be able to:
External influences	Environmental factors	- describe environmental issues which influence a business - explain why a business needs to consider environmental issues - evaluate the impact and importance of an environmental policy to a business and its stakeholders - recommend and justify ways in which a business can address environmental issues - evaluate the importance to a business of being seen as an environmentally friendly organisation - evaluate possible conflicts between environmentally friendly objectives and other business objectives - recommend and justify how a business can manage the conflicts between environmentally friendly objectives and other objectives - evaluate the impact and importance in changes in environmental issues to a business and its stakeholders - evaluate the impact and importance of an environmental policy to a business and its stakeholders - recommend and justify ways in which a business can address environmental issues - explain what is meant by sustainability - explain how a business may act in a sustainable manner - evaluate the impact and importance of sustainability to a business and its stakeholders - evaluate how a business may become more sustainable.
	External factors and influences	evaluate the consequences to a business of ignoring external factors and issues.

Area of Study	Content	Learners should be able to:
Change	Causes and effect of change	• identify causes of change • distinguish between internal and external causes of change • explain the different types of change including catastrophic, crisis, contingency, strategic, tactical and operational • evaluate the impact and importance of drivers of change to a business and its stakeholders • evaluate the problems associated with change • identify barriers to change • evaluate the impact and importance of barriers to change to a business and its stakeholders • evaluate the impact and importance of change on a business and its stakeholders.
	Managing change	• explain what is meant by change management • explain the importance to a business of effective change management • evaluate techniques which can be used to help a business manage change • explain change management models including Lewin's Change Management Model, McKinsey 7-S Model and Kotter's 8 Step Change Model • evaluate how a business can use change management models to manage change • evaluate the role of leadership of a business in managing change • evaluate the advantages and disadvantages of using an external agency or change consultant to manage change in a business • recommend and justify how a business could manage change • evaluate the benefits to a business of effective change management • evaluate the consequences to a business of not managing change effectively.

Area of Study	Content	Learners should be able to:
Accounting and finance within a business environment	Accounting and finance objectives	• explain accounting and finance objectives • explain how and why accounting and finance objectives are used by a business • explain the need for a business to have clear accounting and finance objectives • evaluate the usefulness of accounting and finance objectives to a business and its stakeholders • evaluate the importance of accounting and finance objectives in the achievement of business objectives • recommend and justify accounting and finance objectives for a business.
	Sources of finance	• explain sources of finance • distinguish between internal and external sources of finance to a business • distinguish between short-term and long-term sources of finance for a business • explain how factors affect the choice of finance for a business including: ○ time ○ legal structure ○ quantitative factors ○ qualitative factors ○ external influences • evaluate sources of finance for a business and its stakeholders.
	Accounting concepts	• explain the need for accounts to achieve a 'true and fair' view of the business • explain the need to comply with Generally Accepted Accounting Practice (GAAP); (knowledge of specific rules and regulations is not required) • explain the accounting conventions of consistency, going concern, accruals (matching), materiality, objectivity, prudence (conservatism) and realisation • apply accounting conventions to a business • evaluate the usefulness of accounting conventions to a business and its stakeholders • evaluate the impact and importance of accounting conventions to a business and its stakeholders.

Area of Study	Content	Learners should be able to:
Management accounting	Costs, revenue and profit	• explain what is meant by costs, revenue, profit, total cost, average cost, fixed cost, variable cost, total revenue, price, average revenue, direct, indirect and overhead costs • calculate and interpret costs, revenue, profit, total cost, average cost, fixed cost, variable cost, total revenue, price, average revenue, direct, indirect and overhead costs • explain the importance of direct, indirect and overhead costs to a business • evaluate the impact of costs and revenue on business decisions • evaluate the impact of costs changing on a business and its stakeholders • evaluate the usefulness of cost centres and profit centres to a business and its stakeholders • calculate and interpret how costs may be allocated: full, absorption and marginal • evaluate the usefulness of different costing methods to a business and its stakeholders • evaluate how the allocation of costs can affect a business and its stakeholders • evaluate the profit level of a business.
	Break-even analysis	• explain what is meant by 'break-even', contribution, margin of safety and target level of profit • explain what is meant by a 'stepped fixed cost' • construct and interpret a break-even graph • calculate and interpret contribution, break-even, margin of safety and target level of profit • calculate and interpret the impact on break-even, margin of safety contribution and target level of profit of changes in costs and revenue • evaluate the impact on the break-even point, margin of safety, contribution and target level of profit of changes in costs and revenue • evaluate the impact of break-even analysis on a business and its stakeholders • evaluate the usefulness of break-even analysis to a business and its stakeholders • recommend and justify how a business could lower its break-even point • evaluate special order decisions.

Area of Study	Content	Learners should be able to:
Management accounting	Investment appraisal	• explain the nature and purpose of investment appraisal • calculate and interpret quantitative methods of investment appraisal: the payback period, average rate of return (ARR) and net present value (NPV) • explain how quantitative and qualitative aspects of investment appraisal affect a business • evaluate the usefulness of different methods of investment appraisal to a business and its stakeholders • recommend and justify business investments based on quantitative and qualitative investment appraisal.
	Budgets and variances	• explain what is meant by a budget • explain what is meant by a variance • calculate and interpret budgets and variances • analyse budgets and variances (favourable/adverse) • evaluate the impact of budgets and variances on a business • evaluate the usefulness of the budgeting process and variance analysis to a business and its stakeholders.
	Cash-flow	• explain what is meant by cash-flow • distinguish between a cash-flow forecast and a cash-flow statement • distinguish between cash-flow and profit • explain the purpose of a cash-flow forecast and a cash-flow statement • calculate, interpret and analyse cash-flow forecasts and cash-flow statements • calculate, interpret and analyse the impact on a cash-flow forecast of changes in costs and revenue • evaluate the impact of a cash-flow forecast and cash-flow statement on a business and its stakeholders • evaluate the usefulness of cash-flow forecasting to a business and its stakeholders • evaluate strategies to overcome forecast cash-flow problems • evaluate the usefulness of cash-flow forecasts and cash-flow statements for a business and its stakeholders.
	Working capital	• explain what is meant by working capital • explain what is meant by the working capital cycle.

Area of Study	Content	Learners should be able to:
Financial accounting	Income statements	• explain what is meant by an income statement • explain what is contained within an income statement • calculate, interpret and analyse measures of profit; gross profit, operating profit and net profit • complete, interpret and analyse an income statement • evaluate the usefulness of income statements for a business and its stakeholders.
	Statement of financial position	• explain what is meant by a statement of financial position • explain what is contained within a statement of financial position • complete, interpret and analyse a statement of financial position (non-current assets, inventory, receivables, payables, working capital, non-current liabilities, net assets, retained earnings and total shareholders' equity) • evaluate how assets may be valued: non-current assets, (non-current assets), investments, patents, goodwill, receivables, bad debts, inventories • explain what is meant by depreciation • explain the need for the provision of depreciation • calculate and interpret methods of depreciation: straight line and reducing balance • evaluate the impact of depreciation on a business • evaluate the usefulness of a statement of financial position to a business and its stakeholders.
	Ratio analysis	• calculate and interpret liquidity ratios: current ratio and acid test • calculate and interpret solvency ratios: gearing and interest cover • calculate and interpret efficiency ratios; creditor turnover, debtor turnover, non-current assets turnover and stock turnover • calculate and interpret profitability ratios; gross profit margin, net profit margin, return on capital employed (ROCE) and return on equity • calculate and interpret shareholder ratios: dividend per share, dividend yield, earnings per share and price/earnings ratio • evaluate the financial position of a business • evaluate the usefulness of ratio analysis to a business and its stakeholders.

Area of Study	Content	Learners should be able to:
Accounting and finance within the external environment	External influences on accounting and finance	• evaluate the following influences on accounting and finance: ○ social ○ legal ○ ethical ○ environmental ○ economic ○ political ○ technological ○ international.